

Common Findings of the Fiscal Monitoring Process

Office of Educational Supports – Financial Unit

Michigan Department of Education

Presented by: The Fiscal Monitoring Team

Common Findings of the Fiscal Monitoring Process

- Fiscal Monitors review all Federal funds disbursed through the Consolidated Application
 - Fiscal Monitoring Team:
 - Shoua Vang, Financial Manager
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 - Michael Stevens, Senior Auditor
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 - Michael Wynn, Fiscal Monitor
 - Bill Anderson, Fiscal Monitor
 - Brian Starks, Fiscal Monitor
 - Tammy Franks, Departmental Analyst
 - Amanda Pietchak, Administrative Support

Common Findings of the Fiscal Monitoring Process

- **Pre-engagement**
 - Selection of Local Education Agency (LEA) for review
 - Risk Assessment (**2 CFR 200.519**) factor examples
 - Federal Allocations total amount
 - Consultant Survey Score
 - Last on-site (program/fiscal) review
 - FER Deviations Score
 - Deficit/Partnership District Score
 - Single Audit Score
 - Graduation Percentage Rate Score
 - District Achievement Score

Common Findings of the Fiscal Monitoring Process

- **Pre-engagement**

- Notify LEA it has been selected for an on-site fiscal review (or desk review) and determine a mutually agreed-upon date for the engagement
- Determine if review will be conducted on-site or from a remote location (Desk Review)
- For a review, the LEA will receive an appointment. For a desk review, on the dates the review is formally scheduled we ask that you make your Fiscal Monitor a priority to answer questions or provide assistance just like you would if we were physically present at your site.

Common Findings of the Fiscal Monitoring Process

- **Pre-engagement**
- Document request list to the LEA may include but not be limited to:
 1. Summary and detail general ledgers of every Title program.
 - The general ledger detail of each Title program is used for selecting a sample of general expenditures.
 2. A list of ALL Title funded employees to determine which staff will be reviewed. See Document Request for more detailed request related to staff for when we arrive.
 3. The return of a completed MDE Questionnaire.
 - The purpose of a Questionnaire is for the Fiscal Monitor to gain a general understanding of the LEA's internal operations, prior to the review
 4. An inventory list of Title funded equipment and other tangible personal property purchased in current and prior program years.
 - **Computer Devices costing \$100 or more with useful life of more than one year**
 - Dispositions are also to be listed for at least 5 years after which
 - UGG: 2 CFR 200.334 – 3 Years
 - GEPA: 34 CFR 81.31(c) – 5 years (Recommended)

Common Findings of the Fiscal Monitoring Process

- **Pre-engagement continued**
- Additional requested documentation should be available when we arrive or begin on the scheduled review date. For example, contracts for purchased services, invoices, purchase orders, time and effort documentation, background check info, evidence of staff credentials, cash draw documentation
- Will also review the Consolidated Application, Grant Award Notification (GAN), Final Expenditures Report (FER), etc.

The Fiscal Monitoring Process Document Request List Example

MICHIGAN DEPARTMENT OF EDUCATION Office of Educational Services (OES) - Financial Unit

DOCUMENT REQUEST FORM

Please submit electronic copies of the following documents to OES fiscal monitor [Michael Stevens](mailto:stevensm14@michigan.gov) via email at stevensm14@michigan.gov.

- **2023-24** staff list for all individuals paid with Federal Title Program funds. Please include their **name, position(s), funding source(s), percentage of each funding source, building, salary/hourly rate, total gross wages (all funding sources), total gross fringe benefits (all funding sources)**.
- **2023-24** general ledger (GL) summary and detail for all Federal Title Programs only. **Excel format is preferred.**
- Board adopted Policies and Procedures for:
 - Cash Management
 - Allowability of cost
 - Conflicts of interest
 - Procurement
 - Time and Effort Documentation
 - Travel reimbursement
 - Equipment Management
- Inventory list of equipment items costing greater than \$10,000 and computing devices costing $\geq$ \$100 with a useful life $>$ one year that were purchased with Federal Title Program funds.
- For sampled employees we will review the following original documentation:
 - Payroll summaries for our selected sample of employees for a pay period and the final showing total wages & benefits for the school year. **Please provide for the first full pay period in March 2024.**
 - Time and Effort documentation - Semi-annual Certification or Personal Activity Report-like documentation.
 - Teacher Certifications and Professional Licenses
 - Evidence of criminal background checks (TCN# from background check or ~~IChat~~ records. If needed, ~~IChat~~ contact is **517-241-0713**, or email msp-crd-ichathelp@michigan.gov.)
- The direct employee's or contract employee's contract, their teaching certificate, evidence of post-secondary degree (e.g. AA, BA, MA, Ph.D.); copy of transcript showing 60 credit hours completed at a post-secondary institution. Employee union contracts or 3rd party employee-provider contracts, their bargaining unit step information. Also, a position description and any documentation shows how the position is funded (e.g. 50% Title, 50% General Fund (local)).
- All cash draws and supporting documentation for each of the draws.
- For selected contracted services we will review:
 - Original Contracts
 - Bid documents
 - Invoices and purchase orders for selected services and other supporting documentation
 - Evidence of criminal background checks on contracted individuals
 - Sign-in sheets and agenda for in-house training
 - For selected equipment purchases we will review invoices, purchase orders (POs) and their approvals; trace items to the inventory listing.
 - For selected supplies and materials we will review invoices, POs, receipts, approvals for POs & invoices, and other supporting documentation

Common Findings of the Fiscal Monitoring Process

- **The Entrance Conference (On-site)**
 - Meet and greet LEA staff
 - Complete the sign-in sheet of all involved in the review
 - Determine contacts for the engagement
 - Define office locations of staff for questions
 - Briefly explain the nine sections and process of the engagement
 - Schedule a closing meeting
 - Ask if the LEA staff have any questions
 - Review requested additional documentation the LEA has pulled for the engagement and how to address outstanding items

Common Findings of the Fiscal Monitoring Process

- **The Engagement** - There are nine sections to our review:

- 1) **Staff**

- Verify teacher certificates and paraprofessional eligibility (Appropriate Placement, fka Highly Qualified)
 - Verify background checks have been performed. TCNs are required at a minimum.
 - Verify that time and effort documentation has been completed. Semi-certifications or PARS-like documentation (e.g. time cards) are most common for compliance. Make sure staff are completing daily logs because in the absence of semi-certs or time cards we have accepted those forms of documentation for T&E.

Common Findings:

- Teacher or Paraprofessionals not **“appropriately placed” (f.k.a. Highly Qualified)**. Either no background check was completed or, the individual had insufficient credentials.
- Time & Effort (TE) is insufficient or nonexistent. Personal Activity Reports (PARs)-like **(adhere to Section 200.430)** should show the funding source so we know the activity performed. We have established semi-certification forms for use by the LEAs when an individual, who may be split-funded works on one cost object (one activity only).
- The LEA should have a Time & Effort policy and additional written procedures, if necessary. Sometimes the procedures may be incorporated into the policy.

Common Findings of the Fiscal Monitoring Process

- **The Engagement – cont.**

- 2) **Payroll Expenditures**

- Verify staff is paid according to their contract, offer letter or payroll approval
 - Verify payroll, including benefit expenses are charged to the respective program's general ledger in the same way they are approved in the Consolidated Application. Benefits are reviewed for the proportionality to wages.
 - Verify payroll charges are supported by time and effort documents

Common Findings:

- **Benefits are not charged to Title programs in proportion to wages approved in the Consolidated Application**
- Misclassifications – wage and benefit expenditures recorded in the wrong function or object code
- Percentage of wages and benefits not charged in general ledger as approved in the Consolidated Application. Possibly does not agree to Time & Effort documentation and/or the payroll records.
- **LEAs must adhere to the authorized amounts of each LINE ITEM in the Consolidated Application. There is a 10 percent cost overrun allowance per LINE ITEM, not per function code.**

Common Findings of Fiscal Monitoring Process

- **The Engagement – cont.**

- 3) **Policies and Procedures**

- Verify LEA Board Adopted policies and related written procedures for each of the following:
 - Cash Management
 - Allowability of Cost
 - Conflicts of Interest
 - Procurement
 - Travel Reimbursement
 - Equipment Management
 - Time and Effort procedures

Common Findings:

- Missing the required written policies and procedures.

Common Findings of the Fiscal Monitoring Process

- **The Engagement – cont.**

- 4) **Cash Management**

- We verify that cash draws are supported by expenditures recorded in the general ledger

Common Findings:

- No documentation to support that cash draws were done on a reimbursement basis. No general ledger showing that program year-to-date (PYTD) expenditures are supported
- Amount requested exceeds the PYTD expenditures in the general ledger.

Common Findings of the Fiscal Monitoring Process

- **The Engagement – cont.**

- 5) **Budget**

- Compare LEA budget and actual expenses as recorded in the Title general ledgers to the Consolidated Application.
 - **The general ledger budgeted amounts should match to what is approved in the Consolidated Application authorized amounts.** This prevents LEAs from exceeding authorized amounts as the program year progresses.

Common Findings:

- Misclassifications – Expenditures recorded in the general ledger in the wrong function and/or object code. Also, charging the incorrect building (Title I, Part A only) or program
- Expenditures must not exceed authorized amounts (in the Consolidated Application) by more than 10 percent

Common Findings of the Fiscal Monitoring Process

- **The Engagement – cont.**

- 6) **Final Expenditure Report**

- Compare actual expenses as recorded in the Title general ledger, to the amounts and classifications reported in the Final Expenditure Report (FER)

Common Findings:

- In general, any difference between amounts recorded in the general ledger and reported in the FER is considered a finding (variance).
- Variances are comparable to Misclassified Costs in that it is a way to quantify recordkeeping errors.
- No money is recaptured on Variances (**unless FER amounts exceed amounts recorded in the General Ledger**) or Misclassified Costs. Only amounts that are Questioned Costs are recaptured.

Common Findings of the The Fiscal Monitoring Process

- **The Engagement – cont.**

- 7) **General Expenditures**

- Verify expenditures are made and paid within the approved expenditure period contained in the Grant Award Notification (GAN)
 - Verify expenditures are approved in the Consolidated Application
 - Verify expenditures are classified in the general ledger by function *and* object code as approved in the Consolidated Application
 - Verify expenditures are supported by vendor invoices, purchase orders, and contracts and are approved by the appropriate and authorized LEA staff
 - Verify sign-in sheets and agendas are maintained for Title funded in-house professional development and parent engagement activities

Common Findings:

- Misclassifications – expenditures recorded in wrong program, function or object code, building (Title I, Pt A only)
- Expenditures not approved in CA and/or exceeding authorized amounts by more than 10 percent are Questioned Costs
- Missing sign-in sheets and agendas for in-house PD or Parent Engagement
- Recorded expenditures in the incorrect program year.

Common Findings of the Fiscal Monitoring Process

- **The Engagement – cont.**

- 8) **Purchased Services (Contracting)**

- Verify contracts are available for review upon request
 - Verify contracts are signed by all parties
 - Verify contracts detail the scope of services to be performed
 - Verify contracts detail the start and end dates of performance
 - Verify contracts detail the payment amount for performance
 - Verify the contract details termination provisions for contracts greater than \$10,000
 - Purchase orders and Invoices may be used in lieu of contracts provided all necessary provisions are present

Common Findings:

- Not having contracts for purchased services
- Non-compliant contracts.

Common Findings of the Fiscal Monitoring Process

- The Engagement – cont.

- 9) Equipment

- Verify the district has a Title inventory listing which shows date purchased, description, cost, location, serial number or identification number, funding source, disposition date, and condition
 - Verify that purchases of computing devices are added to the inventory listing for those items \$100 or more and useful life greater than one year
 - **Computing Devices** - machines used to acquire, store, analyze, process, and publish data and other information electronically, including accessories (or “peripherals”) for printing, transmitting and receiving, or storing electronic information. See also the definitions of **supplies** and *information technology systems* in this section. (2 CFR 200.1 – Definitions)
 - **Supplies** - means all tangible personal property other than those described in the definition of *equipment* in this section. See also the definitions of *computing devices* and *equipment*. A **computing device is a supply** if the acquisition cost is less than the lesser of the capitalization level established by the non-Federal entity for financial statement purposes or \$10,000, regardless of the length of its useful life.
 - Visit the schools to verify the equipment on the inventory listing exists and is located where indicated on the listing.
 - Disposed inventory should be kept on the listing for at least 5 years after disposal
 - EDGAR: 2 CFR 200.334 – 3 Years
 - GEPA: 34 CFR 81.31(c) – 5 years (Recommended)

Common Findings:

- Inventory lists not provided, updated, or not containing all items required information
- Equipment items not located during the physical inventory portion of the review.

Common Findings of the Fiscal Monitoring Process

- **The Exit Conference**

- Discuss all nine areas included in the Fiscal On-Site Review or Desk Review report and clarify all tentative findings or open items
- **Misclassified Costs - the quantification of recordkeeping errors. No money is recaptured.**
- **Questioned Costs - deficiencies in which the State is required to recover money from the LEA.**
- The district will receive the final report and a Compliance Plan Form within 1-3 months after completion of the review. The LEA must complete and return the form to **ofsfiscal-unit@michigan.gov**.

Common Findings of the Fiscal Monitoring Process

- **Next Steps:**

- The LEA will receive a copy of the Fiscal Monitoring Report and a Compliance Plan Form to complete if exceptions were found
 - Congratulations letter sent if Compliance Complete!
- District needs to explain on the compliance plan form how it plans to fix the exceptions found during the fiscal monitoring review and return form to OES at OFSFinancial-Unit@michigan.gov for review
 - The LEA's response period for returning a completed Compliance Plan Form is
 - 30 business days after receipt if the review was a full review
 - 15 business days if the review was a follow-up

Common Findings of the The Fiscal Monitoring Process

- **Next Steps Continued**

- If there are questioned costs, once the compliance plan is approved, OES will recapture funds, if applicable
- Upon receipt of the finalized report, fiscal letter, and compliance plan form, **the LEA has an opportunity to request reconsideration of any questioned costs.** If there is additional exculpatory substantive documentation to support expenditures under question it must be submitted at this time. **No exceptions!**
- The costs will be recaptured through the administrative process with a cash draw reduction on the next payment from the State of Michigan.

Common Findings of the Fiscal Monitoring Process

- **Appeals Process**

- Should LEA/PSA decide to appeal, two steps:

1. Appeal to Deputy Superintendent in writing to:
 - Dr. Delsa D. Chapman
 - Send the appeal by email to Tamara Triplett at triplettt@michigan.gov
2. Appeal to the Michigan Office of Administrative Hearings and Rules (MOAHR)
 - Be sure to include Dr. Corinne E. Edwards, Director, Office of Educational Supports, in the courtesy copy of your appeal
 - Be aware of additional time spent on hearings, testimonies, and fees

Common Findings of the Fiscal Monitoring Process

Questions?

Contact Information

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